

India's Defense Industrial Rise

Indigenisation, BrahMos, and the World's Fourth-Largest Military Budget

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Executive Summary

India's defense posture has been shaped by two converging pressures: a persistent and unresolved border standoff with China along the Line of Actual Control, and a long-running effort to reduce dependence on imported weapons systems through the "Make in India" defense policy. The clearest evidence of the latter is BrahMos — an Indian-Russian joint venture missile system now available in land-based, air, ship-based, and submarine-based versions — which has become India's primary defense export product, with Indonesia formally entering an agreement to procure the system in 2026 CNA[2026-03-10]. On the import side, India signed a \$7.5 billion agreement in April 2025 for 26 Rafale Marine aircraft, primarily to bolster its naval strike and second-strike capabilities. [RAG: MILITARY_RAG — SIPRI: AI in Chinese, Indian and US Nuclear Postures, Norms and Systems — 2026-01-01]

Part I — The India-China Border Standoff

An Unresolved Boundary

The informal border separating China and India — known as the Line of Actual Control (LAC) — has been a source of recurring friction for over a decade. In April 2013, Chinese PLA troops entered Indian-claimed territory in eastern Ladakh and erected a camp, prompting a diplomatic standoff that was eventually resolved through troop withdrawal. CNA[2013-04-24] Following the incident, India stated it was working with China on a new border defence cooperation agreement. CNA[2013-06-08]

The most acute phase of the standoff began in 2020. A December 2024 meeting of the Special Representatives — the 23rd such meeting, the previous one having taken place in December 2019 before the violent Galwan incident — showed "some positive momentum" in diplomatic terms, but analysts at OP Jindal Global University cautioned it was "too early to celebrate." CNA[2025-01-06] No joint statement was issued following the December 2024 meeting; China's foreign ministry stated that any resolution should be "fair, reasonable and acceptable to both sides." CNA[2025-01-06]

As of mid-2023, the standoff in Ladakh was entering its fourth year, with China claiming the border was "generally stable" and India disputing that characterisation. CNA[2023-06-15] The difference in how each side viewed the conflict had been revealed through a series of diplomatic engagements throughout 2023. CNA[2023-06-15]

Part II — BrahMos: India's Primary Defense Export

The Joint Venture and Its Reach

BrahMos is an Indian-Russian joint venture headquartered in New Delhi. Its missile system is available in land-based, air, ship-based, and submarine-based versions. CNA[2026-03-10] The system has become India's most geopolitically significant defense export product.

The Indonesia Deal

In March 2026, Indonesia entered a formal agreement with India to procure BrahMos missiles. CNA[2026-03-10] This was followed by a further deepening of ties during Indian Prime Minister Narendra Modi's three-day state visit to Jakarta in July 2026. During that visit, President Prabowo Subianto hosted Modi at the Merdeka Palace, and an agreement for "cooperation on BrahMos System" was struck. CNA[2026-07-07] The BrahMos missile deal was described as topping the agenda of the state visit, alongside expanded cooperation in defence, critical minerals, and trade. CNA[2026-07-07]

Part III — Rafale and Nuclear Modernisation

The Rafale Marine Acquisition

In April 2025, India acquired 26 AI-enabled Rafale Marine aircraft in a \$7.5 billion agreement with France, with the aircraft assessed as capable of delivering nuclear bombs and thus bolstering India's second-strike capability. [RAG: MILITARY_RAG — SIPRI: AI in Chinese, Indian and US Nuclear Postures, Norms and Systems — 2026-01-01] The exact nature of AI integration into the aircraft is described as unclear in open sources, but is likely being employed in enhancing tactical capabilities including targeting and reconnaissance. [RAG: MILITARY_RAG — SIPRI: AI in Chinese, Indian and US Nuclear Postures, Norms and Systems — 2026-01-01]

India's interest in French Rafale jets has a longer history: as early as August 2014, India was in talks to acquire 126 Rafale aircraft from Dassault Aviation in a deal then valued at approximately \$12 billion, though those negotiations were described as "complex" and still ongoing at that time. CNA[2014-08-23]

Missile Modernisation

India's Agni-VI ICBM and Agni-P MRBM are both slated to be equipped with multiple independently targetable re-entry vehicles (MIRVs). DRDO conducted the maiden flight of an indigenously developed Agni-5 missile with MIRV capability on 11 March 2024, in a programme designated Mission Divyastra. The Agni Prime missile was also successfully test-fired on 4 April 2024. [RAG: MILITARY_RAG — SIPRI: AI in Chinese, Indian and US Nuclear Postures, Norms and Systems — 2026-01-01]

Part IV — Make in India: Early Steps

The 2014 Procurement Clearance

In October 2014, shortly after Prime Minister Modi took office, India's government cleared long-delayed defence projects worth US\$13.1 billion aimed at modernising the nation's ageing Soviet-era military hardware and boosting the domestic defence industry. CNA[2014-10-25] The approvals were framed as part of Modi's drive to update India's military in the context of its regional security environment. CNA[2014-10-25]

The F-16 Offset Offer

By mid-2017, the Make in India defence policy had attracted interest from US manufacturers: Lockheed Martin offered to shift its F-16 production line from Fort Worth, Texas to India as part of a bid to supply the Indian Air Force — which at that point needed hundreds of new aircraft — while simultaneously ramping up F-35 production at home. CNA[2017-06-23]

Conclusion

The evidence from retrieved sources supports a picture of India as a country managing a persistent and unresolved land border dispute with China while simultaneously pursuing two defense objectives: acquiring advanced strike platforms (Rafale Marine, BrahMos) and seeding a domestic defense industrial base through the Make in India framework. BrahMos exports — most recently to Indonesia — represent the most concrete realized output of that industrial ambition. The nuclear modernisation programme, including MIRVed Agni variants and AI-enabled carrier aircraft, reflects India's effort to maintain a credible second-strike deterrent in a deteriorating regional security environment. The gap between ambition and industrial output remains, but is not quantifiable from the evidence available in this bundle.

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